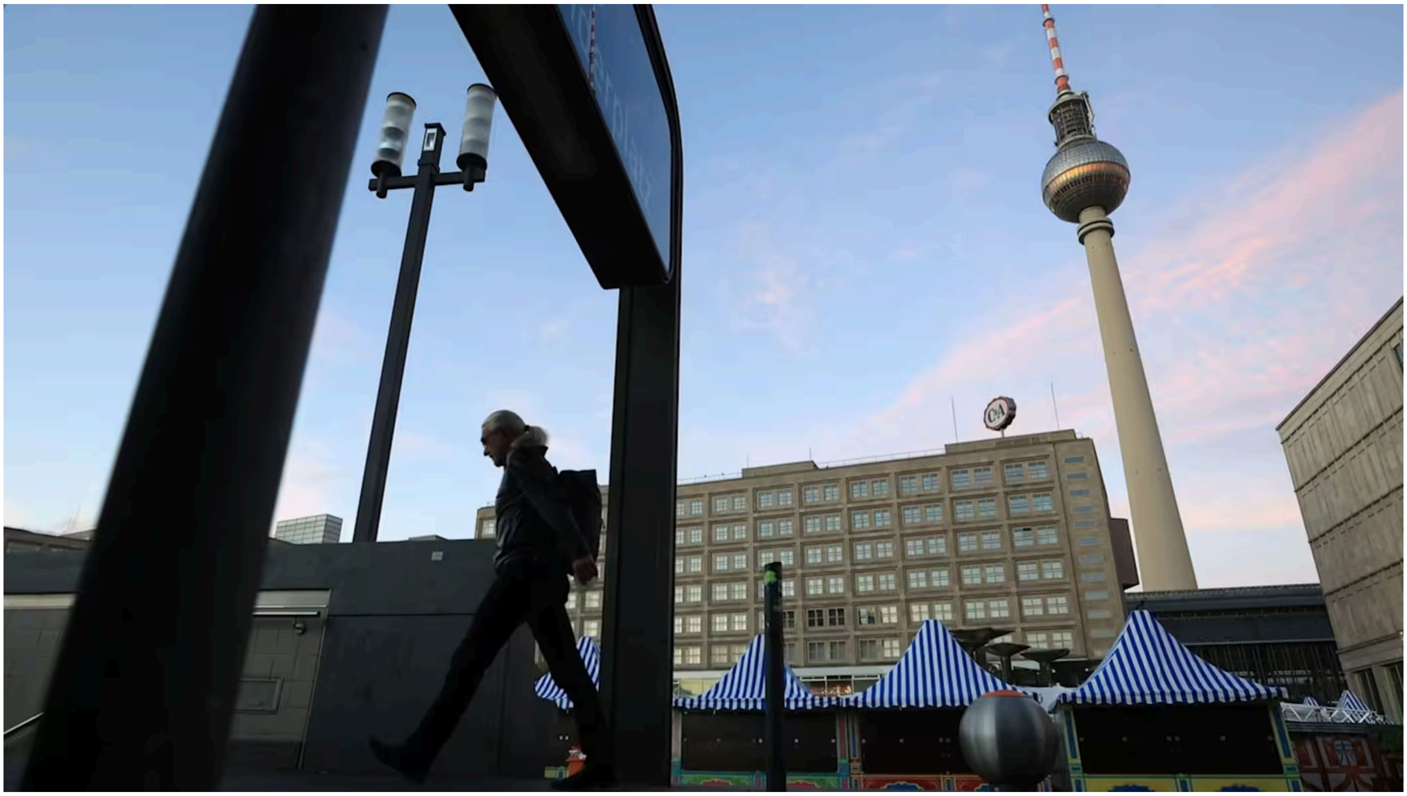
Eurozone economy

Germany beats growth forecasts despite soaring inflation

Resilience of largest EU economy marred by price jumps elsewhere in the eurozone



The German economy grew 0.3% in the third quarter despite forecasts of a 0.2% contraction, while the French and Spanish economies slowed sharply with growth of 0.2% © Krisztian Bocsi/Bloomberg

Martin Arnold in Frankfurt

Published OCT 28 2022

Germany's economy performed better than expected in the third quarter, growing 0.3 per cent and defying fears that Europe's energy crisis would cause the region's biggest economy to start shrinking.

But inflation also outstripped most economists' forecasts, rising to 11.6 per cent in the year to October, up from 10.9 per cent in September, which was already its highest level in the country for over 70 years.

The stronger than expected growth data led investors to reassess their expectations that inflation could soon peak and allow the European Central Bank to slow the pace of interest rate rises.

Eurozone government bond prices sold off, reversing Thursday’s gains, as investors priced in extra ECB rate rises. German 10-year bond yields rose 0.17 percentage points to 2.13 per cent, while their Italian equivalents climbed 0.19 percentage points to 4.22 per cent. Bond yields rise when their prices fall.

Inflation also rose faster than expected in France and Italy, while it slowed in Spain, prompting economists to raise their forecasts for overall eurozone price growth, which is due to be reported on Monday.

“Following today’s significant inflation beats, the market has totally reversed the move lower in ECB terminal rate pricing from yesterday,” Goldman Sachs analysts said, lifting their forecast for eurozone inflation by 0.5 percentage points to 10.9 per cent. That would be an increase from September’s record high of 9.9 per cent.

“Renewed inflation shockers in Germany, France and Italy in October pour cold water on expectations that the ECB’s softer tone on rate hikes yesterday will pave the way for a ‘pivot’,” said Franziska Palmas, senior Europe economist at Capital Economics.

French inflation rose to its highest level for over 25 years, hitting 7.1 per cent in October, up from 6.2 per cent in the previous month. This reflected sharp jumps in energy and food prices, despite government measures to cap increases in electricity and gas bills.

Italian inflation rose to 12.8 per cent in October from 9.9 per cent the previous month, while Spanish inflation cooled to 7.3 per cent from 8.1 per cent.

The French and Spanish economies, the region’s second and fourth largest, slowed sharply, with growth of 0.2 per cent in the July to September period.

Despite the surprisingly positive German growth figure, economists have warned that with inflation remaining high and energy in short supply a recession is still likely in Europe this winter.

“The surprise growth in the third quarter does not mean that the recession narrative has changed,” said Carsten Brzeski, head of macro research at Dutch bank ING.

Germany's economic rebound was driven mainly by growth in "private consumption expenditure", the federal statistical agency said on Friday. Economists had forecast a 0.2 per cent contraction following meagre growth of 0.1 per cent in the previous quarter.

The German economy, which has been struggling to wean itself off heavy reliance on Russian energy supplies, has for the first time rebounded back to the level of gross domestic product it had before the Covid-19 pandemic hit in 2020.

Inflation in France rose to 7.1% in October, reflecting sharp increases in energy and food prices © Hollie Adams/Bloomberg

France has been one of Europe's best-performing economies this year, but its growth slowed from 0.5 per cent in the previous quarter.

Insee, the French statistics agency, said business investment and spending was higher in the latest quarter, while household spending stagnated and the country's balance of trade deteriorated.

On Friday, the European Central Bank said its survey of professional forecasters found they had slashed their forecasts for eurozone growth next year to 0.1 per cent, down from 1.5 per cent three months ago.

The 59 analysts surveyed also raised their inflation forecasts, predicting that it would be 8.3 per cent this year, 5.8 per cent next year and 2.4 per cent in 2024. Longer-term forecasts for 2027 dipped slightly to 2.1 per cent.

This suggests analysts are losing confidence in the ECB's ability to bring inflation back down to its 2 per cent target in the medium term, which could strengthen calls for the central bank to keep raising rates aggressively after increasing them by 0.75 percentage points on Thursday to a 13-year high.

Separately, the economic sentiment index published by the European Commission fell to 90.9 in October, 1.5 points below the previous month and the lowest level since August 2020. Managers reported a weaker competitive position in foreign markets and falling demand.

In the third quarter, the US economy outperformed many of Europe's largest countries with quarterly growth of 2.6 per cent, while China reported quarterly growth of 3.9 per cent.

Additional reporting by Valentina Romei in London

Follow the topics in this article

Eurozone economy

German economy

Spanish economy

French economy

European Central Bank